EXCLUSIVE BONUS · FOR KENYAN SHOP OWNERS

PROFIT BOOST

10 Proven Ways to Increase Your Shop's Profits — Without Selling More

STOCKMASTER

Read This First

Most shop owners in Kenya believe there is only one way to make more money: sell more. So they work longer hours, open earlier, close later — and at the end of the month, the profit is almost the same.

Here is the truth successful traders know: **profit is not only made at the till. It is made in your buying, your pricing, your stock decisions and your money habits.** A shop selling KSh 5,000 a day with good margins and no losses can take home more than a shop selling KSh 8,000 a day carelessly.

This guide gives you 10 practical strategies. None of them require more capital. Each one ends with a simple action you can take this week — and shows you exactly where your StockMaster spreadsheet does the hard work for you.

> **HOW TO USE THIS GUIDE**
> Do not try all 10 at once. Pick TWO strategies, apply them for 30 days, and track the result in your Profit Report sheet. Then add two more. Small consistent changes beat big abandoned plans.

What's Inside

STRATEGY 1

Know Your Real Profit (Not Your Guess)

Ask ten shop owners how much profit they made last month and nine will guess. "Around 20,000... I think." If you don't know your number, you cannot grow it. You may be losing money on certain products right now and paying for it with the profit from others — without ever noticing.

The three numbers every shop owner must know

- **Revenue** — total money from sales (what enters the drawer or M-Pesa).
- **Cost of goods** — what you paid the wholesaler for what you sold.
- **Profit** — revenue minus cost of goods. This is your real number, before rent and expenses.

Many traders confuse revenue with profit. A busy day of KSh 10,000 in sales can mean only KSh 1,200 of profit if your margins are thin. The day you start seeing profit per product, your buying decisions change forever.

YOUR SPREADSHEET DOES THIS FOR YOU
Record every sale in the Daily Sales sheet — date, product, quantity. The Profit Report calculates revenue, cost and profit automatically, in total and per product. Two minutes a day is all it takes.

ACTION THIS WEEK
Record every single sale for 7 days without missing one. On day 8, open your Profit Report and write down your real weekly profit. That number is your starting line.

STRATEGY 2

Fix Your Prices Product by Product

Most prices in Kenyan shops are set by copying the shop next door. But your costs are not the same as theirs — your transport, your wholesaler, your losses are different. Copying prices means copying someone else's mistakes.

The margin check

For each product, calculate: **(Selling Price - Buying Price) ÷ Selling Price**. That's your margin. Now look at the pattern:

Margin	What it means	What to do
Below 10%	You work almost for free on this item	Raise price or renegotiate cost
10–20%	Typical for fast-moving basics (unga, sugar)	Protect it — buy smarter
20–35%	Healthy margin	Push these products harder
Above 35%	Your hidden gold	Display them at eye level, restock fast

You will discover that 2 or 3 products are earning you almost nothing. Sometimes a KSh 5 increase — from 45 to 50 bob — is invisible to the customer but doubles your margin on that item.

YOUR SPREADSHEET DOES THIS FOR YOU
The Inventory sheet shows Profit per Unit for every product automatically. Sort your attention to the smallest numbers first.

ACTION THIS WEEK
Find your 3 lowest-margin products. For each one: raise the price slightly, find a cheaper supplier, or stop stocking it.

STRATEGY 3

Negotiate Like a Wholesaler's Best Customer

Every shilling you save when buying is pure profit — it goes straight to your pocket without selling anything extra. Yet most shop owners accept the first price at the wholesaler, every time.

Five negotiation moves that work in Kenya

- **Buy in bulk with neighbours.** Team up with 2–3 nearby shops and combine orders for unga, sugar or oil. Bulk price differences of KSh 50–150 per bale are common.
- **Ask for the cash price.** Wholesalers often have a quiet discount for immediate M-Pesa or cash payment. You only get it if you ask.
- **Compare three suppliers every quarter.** Prices move. The wholesaler who was cheapest in January may not be in June.
- **Be loyal loudly.** Tell your supplier: "I buy from you every week — what can you do on price or delivery?" Loyal customers who ask, receive.
- **Time your buying.** Some goods drop in price at harvest season or month-start. Buy your long-life stock (salt, soap, matches) when prices dip.

YOUR SPREADSHEET DOES THIS FOR YOU
The Suppliers sheet (Ultimate pack) keeps every supplier's contact, payment terms and what you owe — so you can compare and negotiate with real information.

ACTION THIS WEEK
Call one alternative wholesaler and price-check your 5 biggest products. If you find a saving on even one, you've earned back the cost of this template many times over.

STRATEGY 4

Kill the Silent Profit Killers: Expiry & Damage

Expired milk. Weevils in the flour. A leaking cooking-oil container. Bread that went stale on the shelf. Each one feels small — but added up, spoilage quietly eats 5–10% of many shops' profit every month.

The FIFO rule (First In, First Out)

When new stock arrives, put it BEHIND the old stock, never in front. Old stock sells first, new stock waits. This one habit eliminates most expiry losses. Train anyone who helps in your shop to do the same.

Watch your danger products

Milk, bread, margarine, yoghurt and baked goods cause most spoilage losses. Order these little and often, rather than big and rarely — even if the unit price is slightly higher. A small margin earned beats a full margin thrown away.

YOUR SPREADSHEET DOES THIS FOR YOU

In the Pro and Ultimate packs, enter the expiry date when stock arrives. The Inventory sheet flags anything expiring within 14 days — sell it first, discount it, or bundle it before it becomes a loss.

ACTION THIS WEEK

Rearrange your shelves using FIFO today. Then enter expiry dates for your perishables in the Inventory sheet.

STRATEGY 5

Put Your Money on Your Best Sellers

In almost every shop, around 20% of products bring in 80% of the profit. The problem? Most owners can't name which 20%. So their capital sits frozen in slow products while the real money-makers run out of stock.

The two deadly sins

- **Stockout of a best seller.** A customer comes for unga, you don't have it — they walk to the next shop and may buy everything else there too. A stockout doesn't lose one sale; it can lose a customer.
- **Overstocking slow movers.** That carton of a product that "might sell" is your capital sleeping on a shelf instead of working.

The rule is simple: **your best sellers must never, ever run out.** Reorder them before you're empty, even if you must delay buying something else.

YOUR SPREADSHEET DOES THIS FOR YOU
The Best Sellers sheet (Ultimate) ranks your products by units sold, revenue and profit — automatically. Set the Reorder Level for your top 10 and the Inventory sheet will flag them in red before they run out.

ACTION THIS WEEK
After 2 weeks of recording sales, open Best Sellers. Identify your top 5 and set generous reorder levels for each. These five never run out again.

STRATEGY 6

Tame the Deni (Credit) Monster

Deni is part of business in Kenya — refuse it completely and you lose good customers. But uncontrolled deni is the number one killer of small shops. Money you can't collect is worse than a sale you never made, because you already paid for that stock.

The deni rules that protect you

- **Write down EVERY deni, immediately.** "I'll remember" is how money disappears. If it's not written, consider it gone.
- **Set a personal limit per customer.** For example: no customer can owe more than KSh 500, or more than one week. New debt only after old debt is cleared.
- **Give deni only to customers with history.** Someone who has bought from you cash for 3 months has earned trust. A stranger has not.
- **Make paying easy.** Accept M-Pesa for deni repayment and send a polite reminder: "Habari! Just a reminder of the KSh 350 balance. Lipa na M-Pesa anytime. Asante!"
- **Reward cash.** A tiny extra (one sweet, rounding down KSh 2) for cash buyers quietly teaches customers that cash is appreciated.

YOUR SPREADSHEET DOES THIS FOR YOU

Use the Customer Register (Pro/Ultimate) to track who buys what, and the Notes column for deni limits and balances. Customers with clean records earn higher limits.

ACTION THIS WEEK

Make your deni list complete and current. Send a friendly M-Pesa reminder to everyone owing more than 7 days. Recover even 30% and you've found free money.

STRATEGY 7

Use the Kadogo Strategy the Smart Way

Kenyans invented the kadogo economy — selling in small, affordable units: a spoonful of margarine, 50 bob airtime, a quarter bar of soap. Kadogo brings customers through the door daily. But here's what most owners miss: **kadogo units should carry a higher margin than full units.**

The maths of small

If a 800g bar of soap costs you KSh 130 and sells at KSh 165, your margin is about 21%. Cut it into 4 pieces and sell each at KSh 50: total KSh 200 — margin jumps to 35%. Customers happily pay for affordability, and you earn more per bar. The same logic works for cooking oil, sugar, rice and washing powder repacked into smaller portions.

Just respect two limits: keep repacked goods clean and well-covered (customers notice hygiene), and never repack items where the law or the brand forbids it.

YOUR SPREADSHEET DOES THIS FOR YOU

Add kadogo versions as separate products in the Inventory sheet — e.g. "Soap 1/4 bar" — with their own buying cost and selling price. The Profit Report will show you exactly how much extra the kadogo strategy earns.

ACTION THIS WEEK

Pick ONE product to offer in a smaller unit at a better margin. Track it for two weeks in your spreadsheet.

STRATEGY 8

Separate Shop Money from Pocket Money

This is the hardest strategy — and the most powerful. When shop money and personal money live in the same pocket, the shop always loses. A soda here, school money there, fare from the drawer... and at month-end, the stock is thinner and nobody knows where the money went.

The salary system

- **Pay yourself a fixed amount** — weekly or monthly, like a salary. That money is yours, no guilt.
- **Everything else stays in the business** — for restocking and growing.
- **Use separate M-Pesa lines if you can.** A Pochi la Biashara or Till number for the shop keeps business money visibly separate from personal money.
- **Record every withdrawal.** If you take stock for home use, record it as a sale to yourself at cost. The shop must not silently feed the house.

Shops that adopt a salary system often discover their business was more profitable than they thought — the profit was simply leaking out in small, unrecorded amounts.

YOUR SPREADSHEET DOES THIS FOR YOU
Record your salary and every withdrawal in the Cash Flow sheet as Money Out. The running balance shows you the shop's true financial position at all times.

ACTION THIS WEEK
Decide your salary. Write it in the Cash Flow sheet on payday. From today, no other money leaves the drawer unrecorded.

STRATEGY 9

Turn Slow Stock into Fast Cash

Walk around your shop and look for the dust. Products that haven't moved in 60+ days are not assets — they are frozen capital losing value. Every month they sit there, they cost you the profit that money could be earning in fast-moving stock.

The unfreezing playbook

- **Bundle it.** Attach a slow item to a best seller: "Buy 2kg rice, get this at half price."
- **Front it.** Move slow stock to eye level near the till for two weeks. Visibility sells.
- **Discount it decisively.** Selling at cost (or even slightly below) is not a loss — it's a rescue. Recover the cash and put it into products that move.
- **Stop reordering it.** The discipline is not just clearing slow stock — it's not buying it again.

YOUR SPREADSHEET DOES THIS FOR YOU
Compare your Inventory list against the Best Sellers ranking: anything with high stock and few or zero sales is frozen capital. The numbers remove the emotion from the decision.

ACTION THIS WEEK
Identify your 5 slowest products. Bundle or discount them starting Monday. Reinvest every shilling recovered into your top 5 best sellers.

STRATEGY 10

Make Every Customer Worth More

Getting a new customer is hard. Getting an existing customer to spend KSh 30 more per visit is easy — and it costs nothing. If 50 daily customers each spend 30 bob more, that's KSh 45,000 of extra monthly revenue from the same people.

Three moves that raise the basket

- **The natural suggestion.** Bread? "Blue Band iko pia." Rice? "Unataka royco?" Suggest the natural partner of what they're buying. One extra yes per ten customers adds up fast.
- **The counter zone.** The area beside the till is your gold mine — sweets, airtime, razors, matches. Small, cheap, impulse items belong at the point of payment.
- **Know your regulars.** Greet them by name, remember what they buy, keep their preferred items in stock. In a neighbourhood, relationships beat prices.

YOUR SPREADSHEET DOES THIS FOR YOU
The Customer Register shows each customer's total purchases and spending. Your top 10 customers deserve to be known by name — the sheet tells you who they are.

ACTION THIS WEEK
Choose 3 product pairs for natural suggestions and rearrange your counter zone. Train yourself (and any assistant) to make the suggestion every time.

Your 30-Day Profit Plan

Knowledge without action changes nothing. Here is your simple plan:

Week	Focus	Done
Week 1	Record every sale daily (Strategy 1) + FIFO shelves (Strategy 4)	
Week 2	Margin check on all products, fix the worst 3 (Strategy 2)	
Week 3	Deni cleanup + reminders (Strategy 6) + price-check a new wholesaler (Strategy 3)	
Week 4	Identify best sellers, set reorder levels (Strategy 5) + start your salary (Strategy 8)	

At the end of 30 days, open your Profit Report and compare with your starting number. The traders who win are not the ones who know the most — they are the ones who track, decide and act. You now have both the knowledge and the tool.

NEED HELP?
Message us on WhatsApp any time — we're here to make sure you succeed. Karibu, and here's to your shop's growth!